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JUDGMENT SHEET
IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

Writ Petition No.46926 of 2023

Shahid Mehmood & Co. (Pvt.) Ltd.
Versus
Additional District Judge, Faisalabad & others

J U D G M E N T

Date of hearing:	15.05.2025.
Petitioner by:	M/s. Ch. Ishtiaq Ahmad Khan, Adnan Ahmad Ch., Zarish Fatima and Asra Naseer Jalip, Advocates for petitioner. Mr. Shahzad Mahmood Butt, Advocate (W.P. No.70171 of 2023).
Respondents No.3 to 6 by:	M/s. Ch. Abdul Majeed, Ch. Ahsan-ul-Haq and Ch. Zahid Majeed, Advocates.

MUHAMMAD SAJID MEHMOOD SETHI, J.- This consolidated judgment shall dispose of instant writ petition alongwith connected writ petition i.e. **W.P. No.70171 of 2023** as common questions of law and facts are involved in these cases.

2. This constitutional petition is directed against order dated 26.04.2021 and judgment dated 03.05.2023, passed by learned Special Judge (Rent) and Additional District Judge, Faisalabad, respectively, whereby ejectment petition, filed by respondents No.3 to 5, was concurrently allowed.

3. Brief facts necessary for the disposal of the instant petition, are that the respondents No.3 to 5 filed ejectment petition against the petitioner regarding the demised premises i.e. property No.67/68, situated at Main Susan Road, falling in Khewat No.1877, Khatooni No.2219, Khasra No.23/2, 24/2 Square No.16 of an area measuring 25x80, Chak No.213/RB, Tehsil & District Faisalabad. The petitioner contested the application by filing an application for leave to contest. After hearing arguments from both sides, the learned Special Judge (Rent) vide order dated

26.04.2021, dismissed the application for leave to contest and allowed the ejectment petition. Aggrieved by said order, the petitioner preferred an appeal before learned Additional District Judge, Faisalabad, which was dismissed through judgment dated 03.05.2023. Hence, instant petition.

In the connected petition, the respondent No.6 namely Israr Ahmad Khan (petitioner of connected petition) has assailed vires of order dated 06.09.2023, passed by learned Additional District Judge, Faisalabad, whereby his application under Section 12(2) CPC for setting aside order dated 26.04.2021, passed by learned Special Judge (Rent), Faisalabad, was dismissed.

4. The learned counsel for the petitioner submits that during pendency of the ejectment petition, the respondents No.3 to 5 ceased to be the owner of the property that is subject matter of this petition. He argues that petitioner has been continuously paying the rent to the respondent No.6, after his attaining the ownership of the demised premises. But this crucial aspect of the matter has not been given due consideration by both the learned Courts below. He maintains that impugned decisions are unsustainable in the eyes of law. In support of his submissions, he has relied upon Province of Punjab through Education Secretary and another v. Mufti Abdul Ghani (PLD 1985 Supreme Court 1) and Sh. Muhammad Hanif v. Muhammad Nisar and 2 others (1991 CLC 99).

5. Conversely, the learned counsel for respondents No.3 to 5 defends the impugned decisions of learned fora below and submits that learned counsel for the petitioner has failed to point out any illegality or legal infirmity in the impugned decisions, thus, same are liable to be upheld in circumstances.

6. Arguments heard. Available record perused.

7. It is the stance of the petitioner that one Sultan Ali son of Sindhi Khan was the actual owner of land measuring 10-Kanal, 07-Marla, who died on 20.01.1983 leaving behind a daughter namely Mst. Batool Bibi and two sisters namely Mst. Fazal Bibi and Mst

Sardaran Bibi as his legal heirs; that father and maternal uncle of respondents No.3 to 5, namely Rana Tanveer Ahktar and Rana Muhammad Tahir, respectively, fraudulently got executed a General Power of Attorney in favour of said Rana Muhammad Tahir and subsequently alienated the disputed property through different transactions to different persons including mother of respondents No.3 to 5, namely Mst. Sittar Akhtar w/o Rana Tanveer Akhtar through mutation No.408 dated 29.01.1985 and after her death, names of respondents No.3 to 5 and their father Rana Tanveer Akhtar were incorporated in the revenue record vide inheritance mutation No.21594 dated 26.08.2004.

8. Record shows that legal heirs of said Sultan Ali challenged the validity of General Power of Attorney by way of filing civil suit against the father and the maternal uncle of respondents No.3, which was decreed vide judgment & decree dated 03.05.1990, which stood intact upto the level of the Hon'ble Apex Court, who vide judgment dated 04.11.2003 remanded the matter to Trial Court to determine whether the sisters and predeceased daughter of Sultan Ali would inherit the entire property under the Mohammadan Law and nothing would be left for the respondents to inherit as collaterals and pass decree accordingly. Pursuant to the aforesaid direction, the learned Trial Court vide judgment & decree dated 28.11.2005, passed in suit for recovery of possession filed by the successors of Sultan Ali, declared Manzoor Hussain, Maqbool Hussain, Matloob Hussain sons of Batool Bibi, and Mst. Zahida Perveen, Mst. Rashida Perveen and Mst. Shahnaz Kausar / daughters of Batool Bibi owners to the extent of $\frac{1}{2}$ share of the property of Sultan Ali Khan deceased and the remaining $\frac{1}{2}$ share of the suit property would devolve upon Mst. Fazal Bibi and Mst. Sardaran Bibi (the sisters of Sultan Ali Khan, in equal shares (i.e. $\frac{1}{4}^{\text{th}}$ share to each sister). Pursuant to the implementation/execution of the basic decree dated 03.05.1990, sale deeds & mutations were cancelled and sale deed No.15996

dated 04.11.1984 measuring 3-Marla, 8-Sarsai in favour of Sitara Akhtar & Mutation No.6408 dated 29.01.1985 on the basis of sale deed & inheritance mutation No.21594 dated 26.08.2004 of Sitara Akhtar were cancelled.

9. Both the petitioner and the respondent No.6 contend that the respondents No.3 to 5 did not remain owners of the property in question. After implementation of the decree, mutation No.37851 was passed on 09.05.2018 in favour of Manzoor Ahmed, Maqbool Hussain etc. accordingly. On 02-01-2020, Manzoor Ahmed, Maqbool Hussain etc. transferred property measuring 01-Kanal, 17-Marla, 8-Sq.Ft & 01-Kanal, 17-Marla, 8-Sq. Ft. vide sale deed Nos.60 & 61 dated 02-01-2020 in favour of the respondent No.6 and his brother on the basis of earlier agreement to sell dated 20.12.2003; that on the basis of ownership of respondent No.6, petitioner on 01.02.2021 entered into rent agreement with respondent No.6 regarding Shop No.P-67/68 measuring 07-Marla, 181-Sq.Ft for a period of 5 years and paying rent to him till to-date; and that on 12.11.2020, respondents No.3 to 5 who were not owners of premises in question, committed fraud and filed ejectment petition against petitioner on the basis of alleged agreement to sell dated 26.11.2005 with one Muhammad Akram and said ejectment petition was allowed vide order dated 26.04.2021, which is liable to be set-aside.

10. It is evident from the available record that the respondent No.6 became the owner of the demised premises, and the petitioner became aware of this fact only after filing the application for leave to contest. Upon gaining such knowledge, the petitioner informed the Court that a new agreement had been executed and, accordingly, rent would be paid to the respondent No.6. However, the learned Appellate Court did not consider this fact, solely on the ground that it was not mentioned in the application for leave to contest. A perusal of the record reveals that the change in ownership was specifically mentioned in paragraph 3 of the

memorandum of appeal filed before the learned Additional District Judge, wherein it was categorically stated that in September 2020, at the time of payment of rent, the petitioner came to know that respondents No.3 to 5 were no longer the owners of the demised premises. Due to the petitioner's lack of knowledge regarding the identity of the rightful owner, he moved an application before the learned Special Judge (Rent), seeking permission to deposit the rent in Court. This application was allowed, and the petitioner subsequently deposited rent for the months of October, November, and December 2020 in the State Bank of Pakistan. Nevertheless, the learned Appellate Court rejected the petitioner's plea regarding the change in ownership and upheld the ejectment order.

11. The respondent No.6 maintains that following execution of the decree, Manzoor Ahmed and others transferred ownership of the property in question to the respondent No.6, who thereby became the lawful owner of the demised premises. It is further asserted that the petitioner entered into a tenancy agreement with the respondent No.6 and has been paying rent regularly in accordance therewith. Additionally, utility bills and the PT-1 form are stated to be in the name of respondent No.6.

12. Generally, an application for leave to contest must set out all material and substantial defenses. There is no cavil with the well-settled proposition that grounds not pleaded in the leave application cannot be considered subsequently, whether during trial or at the appellate stage. However, the Courts may entertain newly discovered facts in exceptional circumstances, provided such facts were genuinely not available or known at the time of filing the leave application and are material to the outcome of the case. Typically, this requires the filing of a formal application to amend the pleadings or to place the new facts on record. More particularly, a dispute concerning the landlord's title is generally not a valid ground for resisting eviction proceedings, unless there is prima facie evidence negating the existence of a landlord-tenant

relationship. In the present case, the documents now produced before this Court cast serious doubt on the continued existence of the landlord-tenant relationship between the petitioner and respondents No. 3 to 6. Therefore, these newly discovered facts warrant incorporation into the application for leave to contest the ejectment petition. Where such a newly discovered plea reveals a fundamental jurisdictional flaw, such as the non-existence or cessation of the landlord-tenant relationship, based on subsequent developments or newly discovered documents, courts—particularly appellate courts—may consider the same. The relationship of landlord and tenant is the very foundation of an ejectment petition, and if it is shown at the appellate stage that this relationship ceased to exist (e.g., due to a sale, transfer, or extinguishment of tenancy rights), the entire foundation of the ejectment petition may collapse. It is well established that superior courts may take cognizance of subsequent developments or newly surfaced foundational facts, particularly when they affect the right to initiate or continue litigation, or when they go to the root of the matter, even if not originally pleaded. In such cases, the superior court may permit amendment of pleadings, remand the matter to allow necessary amendments, frame fresh issues regarding the existence of tenancy, and order a fresh adjudication based on the revised factual and legal matrix. In Messrs Habib Bank Limited v. Sultan Ahmed and another (2001 SCMR 679), the Supreme Court of India held that the appellate authority could examine the issue of ownership/title of the demised premises. In Vishwasrao Dadasaheb v. Shankarrao D. Kalyankar (2000 AIR SC 3613), the Supreme Court of India held that it is settled law that Courts can take into consideration subsequent events while dealing with matters relating to the relationship of landlord and tenant governed by law enacted in that regard for passing an appropriate order. In Lek Raj v. Mani Lal (2001 AIR SC 996), the Supreme Court of India ruled that if subsequent events or facts having a bearing on

the issue or relief in a suit or proceedings arise, the Court should not shut its door. The law regarding the entitlement of a landlord to amend the pleading by adding new and different grounds arising from events occurring subsequent to the institution of eviction proceedings is well established. In Shah v. Centre Park Plaza Limited & another (2024 KEELC 13468), the Court recognized the existence of a periodic tenancy between the parties and emphasized the importance of considering subsequent events, such as the termination of the tenancy, in determining the rights and obligations of the parties. In Chhote Khan v. Mohammad Obedulla Khan (AIR 1953 Nag 361), the Nagpur High Court held that while an action must be tried on the cause of action as it existed at the commencement of the action, Courts can take notice of subsequent events to shorten litigation, especially when a third party has acquired the right of the plaintiff. In Om Prakash Gupta v. Ranbir B. Goyal (2002 2 SCC 256), the Supreme Court of India examined whether subsequent events could be taken into consideration and held that Courts have the power to take note of subsequent events and mould the relief accordingly, subject to certain conditions.

13. It is well-settled through a consistent line of authority from the superior Courts of the country that a decision made by a lower court or tribunal may be set aside by issuing a writ of certiorari in instances where the court or tribunal has acted outside the limits of its lawful authority, has overstepped the bounds of its jurisdiction¹, or has failed to observe the requirements of natural justice in circumstances where such standards are applicable.² Besides, such an order may also be quashed where a legal mistake is apparent on

¹ Murad Khan and others vs. Mst. Humaira Qayyum and others (2025 SCMR 739), Muhammad Azim Khan Afridi vs. The President Of Pakistan through Principal Secretary and others (2023 SCMR 68), Muhammad Feroze and others vs. Muhammad Jamaat Ali (2006 SCMR 1304) Taimoor Ali vs. Messrs Continental Biscuits Ltd. through Factory Manager and 2 others (2024 PLC 287 DB Sindh), Mst. Bisma Noureen vs. Federation Of Pakistan through Secretary, Ministry of Interior, Islamabad and 11 others (2023 CLC 110 Islamabad).

² Murad Khan and others vs. Mst. Humaira Qayyum and others (2025 SCMR 739), Mst. Tayyeba Ambareen and another v. Shafqat Ali Kiyani and another (2023 SCMR 246).

the face of the record³, or where the decision is so irrational that it satisfies the test of what is known as Wednesbury unreasonableness⁴. This principle was established in the landmark case of *Associated Provincial Picture Houses Ltd v Wednesbury Corporation* [1948] 1 KB 223, where the court held that a decision may be struck down if it is so unreasonable that no reasonable authority could ever have made it. This standard sets a high threshold, ensuring that judicial review intervenes only in cases of serious irrationality or procedural unfairness, not merely because the court disagrees with the merits of the decision.

14. In view of the foregoing, the instant petition is allowed. Consequently, the impugned order and judgment are hereby set aside being illegal and without lawful authority. As a result, the ejectment petition filed by respondents No. 3 to 5, as well as the petitioner's application for leave to contest, shall be deemed to be pending before the learned Special Judge (Rent). The learned Judge shall afford the petitioner an opportunity to amend the application for leave to contest and shall thereafter proceed to adjudicate the matter afresh, strictly in accordance with law, after providing an opportunity of hearing to the petitioner and all concerned. The matter shall be decided by a reasoned and speaking order within a period of sixty (60) days from the date of receipt of a certified copy of this order. A compliance report shall be submitted to this Court through the Deputy Registrar (Judicial).

15. Insofar as the connected writ petition bearing W.P. No. 70171 of 2023 is concerned—wherein the petitioner had challenged the dismissal of his application under Section 12(2) of

³ Murad Khan and others vs. Mst. Humaira Qayyum and others (2025 SCMR 739), United Bank Limited (UBL) through its President and others vs. Jamil Ahmed and others (2024 SCMR 164), Fozia Mazhar vs. Additional District Judge, Jhang and others (PLD 2024 Supreme Court 771), Muhammad Azim Khan Afridi vs. The President Of Pakistan through Principal Secretary and others (2023 SCMR 68), M. Hamad Hassan vs. Mst. Isma Bukhari and 2 others (2023 SCMR 1434), Mst. Tayyeba Ambareen and another v. Shafqat Ali Kiyani and another (2023 SCMR 246), Uzma Naveed Chaudhary and others vs. Federation Of Pakistan and others (PLD 2022 Supreme Court 783).

⁴ Murad Khan and others vs. Mst. Humaira Qayyum and others (2025 SCMR 739), Dr. Akhtar Hassan Khan and others vs. Federation Of Pakistan and others (2012 SCMR 455), Chairman, All Railway Rec. Board & Anr vs K. Shyam Kumar & Ors (2010 (6) SCC 614), Civil Service Unions Vs. Minister of State for Civil Service (1984) 3 All ER 935 (the GCHQ Case)

the Civil Procedure Code—it no longer survives for adjudication in its present form. Since the impugned ejectment order dated 26.04.2021 has been set aside and the matter has been remanded to the learned Special Judge (Rent) for a fresh decision on merits, the basis for the application under Section 12(2), CPC has ceased to exist. Accordingly, the writ petition is **disposed of** as having been rendered infructuous, with a direction that the learned Rent Tribunal shall now adjudicate the matter afresh, strictly in accordance with law. To facilitate the proceedings, the parties are directed to appear before the learned Special Judge (Rent) on 11.06.2025.

(Muhammad Sajid Mehmood Sethi)
Judge

APPROVED FOR REPORTING

Judge

Sultan / A.H.S.